headquartered in China is smaller than the average 20-F FPI, the aggregate global market capitalization for such FPIs represents around five percent of the aggregate global market capitalization of all 20-F FPIs.[79]

Table 1. Top 20 Jurisdictions of Incorporation of 20-F FPIs in FY 2023

Jurisdiction	Count	Fraction of all FPIs (%)	Aggregate Market Cap ($MM)	Mean Market Cap ($MM)	Median Market Cap ($MM)	Fraction of Total FPI Market Cap (%)
Cayman Islands	322	33.3	1,047,823	3,274	104	11.6
Israel	97	10.0	116,454	1,201	121	1.3
Canada (non-MJDS)[a]	75	7.8	24,097	326	24	0.3
British Virgin Islands	62	6.4	13,008	220	29	0.1
United Kingdom	44	4.6	1,593,934	39,848	13,072	17.7
Marshall Islands	37	3.8	19,421	555	217	0.2
Netherlands	31	3.2	637,474	21,249	827	7.1
Brazil	29	3.0	494,825	17,672	7,892	5.5
Bermuda	29	3.0	62,567	2,157	877	0.7
Australia	23	2.4	497,161	21,616	171	5.5
Switzerland	17	1.8	473,843	29,615	451	5.3
Japan	15	1.6	930,908	62,061	26,490	10.3
Mexico	14	1.4	160,776	12,367	3,647	1.8
France	14	1.4	325,461	23,247	290	3.6
Luxembourg	13	1.3	114,032	8,772	3,048	1.3
Argentina	13	1.3	25,665	1,974	1,345	0.3
Ireland	11	1.1	68,580	6,235	302	0.8
South Korea	11	1.1	102,902	9,355	7,582	1.1
Singapore	10	1.0	22,313	2,231	117	0.2
Germany	9	0.9	260,403	28,934	4,161	2.9

[a] Canadian issuers are not MJDS issuers if they do not qualify based on the eligibility requirements for the MJDS (*e.g.*, because they do not meet the 75 million U.S. dollar public float requirement) or if they have elected to report as a 20-F FPI.

[79] For a full breakdown of 20-F FPIs in fiscal year 2023 by jurisdictions of incorporation and headquarters, *see* Tables A1 and A2, respectively, in the FPI Trends White Paper.

Table 2. Top 20 Jurisdictions of Headquarters of 20-F FPIs in FY 2023

Jurisdiction	Count	Fraction of all FPIs (%)	Aggregate Market Cap ($MM)	Mean Market Cap ($MM)	Median Market Cap ($MM)	Fraction of Total FPI Market Cap (%)
China	219	22.6	$462,669	$2,122	$84	5.1
Israel	103	10.7	$119,202	$1,157	$121	1.3
Canada (non-MJDS)	70	7.2	$17,836	$258	$24	0.2
United Kingdom	63	6.5	$1,844,040	$31,255	$2,957	20.5
Hong Kong, Special Administrative Region ("SAR"), China	45	4.7	$220,018	$5,117	$56	2.4
Singapore	45	4.7	$52,660	$1,197	$96	0.6
Brazil	39	4.0	$506,586	$13,331	$5,081	5.6
United States	26	2.7	$55,152	$2,121	$132	0.6
Bermuda	24	2.5	$50,368	$2,099	$1,555	0.6
Australia	21	2.2	$242,470	$11,546	$106	2.7
Greece	21	2.2	$7,849	$374	$124	0.1
Germany	20	2.1	$263,756	$13,188	$347	2.9
Switzerland	18	1.9	$473,863	$27,874	$409	5.3
Netherlands	17	1.8	$551,337	$34,459	$8,378	6.1
Japan	16	1.7	$930,975	$58,186	$23,465	10.3
Mexico	15	1.6	$162,914	$11,637	$3,258	1.8
Argentina	15	1.6	$27,129	$1,809	$1,312	0.3
France	15	1.6	$326,248	$21,750	$345	3.6
Ireland	13	1.3	$278,582	$21,429	$361	3.1
Taiwan	13	1.3	$575,596	$44,277	$630	6.4

The statistics presented in Tables 1 and 2 reflect a different composition of home country jurisdictions of 20-F FPIs today than in fiscal year 2003, both in terms of jurisdiction of incorporation as well as jurisdiction of headquarters. To illustrate this shift, Tables 3 and 4 below present the top 20 jurisdictions of incorporation and of headquarters, respectively, for 20-F FPIs in fiscal year 2003 alongside the previously presented ranking of jurisdictions for fiscal year 2023.

Table 3. Top 20 Jurisdictions of Incorporation: FY 2003 vs. 2023

Fiscal Year			
2003		**2023**	
Country	**Count**	**Country**	**Count**
Canada (non-MJDS)	224	Cayman Islands	322
United Kingdom	106	Israel	97
Israel	81	Canada (non-MJDS)	75
Brazil	48	British Virgin Islands	62
Mexico	38	United Kingdom	44
Netherlands	33	Marshall Islands	37
France	32	Netherlands	31
Japan	29	Bermuda	29
Australia	27	Brazil	29
Bermuda	23	Australia	23
Chile	22	Switzerland	17
Germany	19	Japan	15
Argentina	16	France	14
British Virgin Islands	16	Mexico	14
China	15	Argentina	13
Switzerland	14	Luxembourg	13
Cayman Islands	13	Ireland	11
Sweden	13	South Korea	11
Hong Kong, SAR, China[a]	12	Singapore	10
Ireland[a]	12	Germany	9
South Korea[a]	12		

[a] Shared 19th place

Table 4. Top 20 Jurisdictions of Headquarters: FY 2003 vs. 2023

Fiscal Year			
2003		**2023**	
Country	**Count**	**Country**	**Count**
Canada (non-MJDS)	218	China	219
United Kingdom	106	Israel	103
Israel	81	Canada (non-MJDS)	70
Brazil	50	United Kingdom	63
Mexico	38	Hong Kong, SAR, China	45
Netherlands	35	Singapore	45
France	31	Brazil	39
Hong Kong, SAR, China	30	United States	26
Japan	29	Bermuda	24
Australia	25	Australia	21
Chile	22	Greece	21
China	20	Germany	20
Germany	20	Switzerland	18
Argentina	17	Netherlands	17
Ireland	16	Japan	16
Switzerland	16	Argentina	15
South Korea	12	France	15
Sweden	12	Mexico	15
Bermuda	11	Ireland	13
Italy	11	Taiwan	13

Although the total number of 20-F FPIs in fiscal year 2023 is similar to that in fiscal year 2003, as shown in Figure 1, Tables 3 and 4 demonstrate that the composition of the 20-F FPI population in these two years is very different. The two jurisdictions most frequently represented among 20-F FPIs in fiscal year 2003 were Canada (non-MJDS issuers) and the United Kingdom, both in terms of incorporation and the location of headquarters. However, by fiscal year 2023 the number of 20-F FPIs either incorporated or headquartered in one of these two countries had dropped significantly (by more than 66 percent for Canada in each category, and by 58 percent and 40 percent for the United Kingdom as jurisdiction of incorporation or headquarters, respectively). In contrast, the number of 20-F FPIs incorporated in the Cayman Islands grew from only 13 20-F FPIs in fiscal year 2003 to 322 in fiscal year 2023, becoming, by far, the most common jurisdiction of incorporation for 20-F FPIs in fiscal year 2023. Similarly, the number of 20-F FPIs headquartered in mainland China has grown significantly over the same period, and mainland China was, by far, the most common jurisdiction of headquarters in fiscal year 2023.

Besides showing a substantial change in the jurisdictional composition of the 20-F FPI population in recent decades, Tables 3 and 4 also suggest that there has been an increase in the divergence between 20-F FPIs' jurisdictions of incorporation and jurisdictions of headquarters. Further analysis by the staff demonstrated a significant change in the fraction of 20-F FPIs with differing jurisdictions of incorporation and of headquarters: the fraction of 20-F FPIs with differing jurisdictions was seven percent in fiscal year 2003 but increased to 48 percent in fiscal year 2023.[80]

[80] *See* Figure 2 in the FPI Trends White Paper for a complete illustration of the trend in increasing divergence between jurisdiction of incorporation and jurisdiction of headquarters over the fiscal year 2003-2023 period.

The staff observed that one driver of the increased divergence between jurisdictions of incorporation and jurisdictions of headquarters was the increase in China-based issuers ("CBIs") within the 20-F FPI population since fiscal year 2003. For purposes of this release, we define a CBI as an issuer that is either incorporated or headquartered in one of the three Chinese jurisdictions: (1) mainland China, (2) Hong Kong, SAR, or (3) Macau, SAR. In fiscal year 2003, the number of CBIs represented approximately five percent of all 20-F FPIs, with this number increasing to approximately 28 percent of all 20-F FPIs in fiscal year 2023, representing an over five-fold increase in the proportion of 20-F FPIs that were CBIs. Some of the CBIs in the 20-F FPI population in fiscal year 2023 were headquartered in China (219 issuers), Hong Kong, SAR (45 issuers), or Macau, SAR (two issuers), but nearly all were incorporated outside one of these three Chinese jurisdictions.

In particular, we observe a significant overlap between being a CBI and being incorporated in the Cayman Islands or the British Virgin Islands (another jurisdiction that has risen to become a common jurisdiction of incorporation for 20-F FPIs by fiscal year 2023). The 20-F FPIs that were CBIs in fiscal year 2023 were almost exclusively incorporated (97 percent) in one of these two jurisdictions, with 219 issuers (82 percent) incorporated in the Cayman Islands and 40 issuers (15 percent) incorporated in the British Virgin Islands.[81] Conversely, among 20-F FPIs incorporated in the Cayman Islands or the British Virgin Islands,[82] more than 67 percent (259 issuers) were CBIs.

[81] The remaining countries of incorporation for CBIs in 2023 are China (four issuers), Antigua (one issuer), Marshall Islands (one issuer), and the United Kingdom (one issuer).

[82] 384 issuers in total, making up almost 40% of all 20-F FPIs in fiscal year 2023.

The statistics discussed above suggest that much of the recent resurgence of the 20-F FPI population has been driven by CBIs that are incorporated in the Cayman Islands or the British Virgin Islands.[83] Figure 2 below provides further insight into the increasing prominence of this group of FPIs in the overall population of 20-F FPIs by documenting the trends of the fraction of 20-F FPIs that are (1) Cayman Islands or British Virgin Islands incorporated ("CI-BVI Incorporated") FPIs, (2) CBIs, and (3) both a CBI *and* CI-BVI Incorporated.

[83] Many CBIs are incorporated in these island jurisdictions, while having their operations occur in mainland China. Specifically, non-Chinese holding companies may enter into contractual arrangements with China-based operating companies asunder the Variable Interest Entities ("VIEs") model. Through these contractual arrangements, the non-Chinese holding companies are generally able to consolidate the VIEs in their financial statements. The Commission staff has noted in recent years that these "CBI VIE Structures" pose risks to U.S. investors that are not present in other organizational structures (*i.e.*, difficulties enforcing and exerting control through contractual arrangements; the possibility of the Chinese government subjecting the issuer to penalties, revocation of business and operating licenses or forfeiture of ownership interests; or jeopardized control over the China-based VIE if a natural person who holds equity interest in the China-based VIE breaches the terms of the agreement, is subject to legal proceedings, or uses any physical instruments without the China-based issuer's authorization to enter into contractual arrangements in China). *See* CF Disclosure Guidance: Topic No. 10, *Disclosure Considerations for China-Based Issuers*, available at https://www.sec.gov/rules-regulations/staff-guidance/disclosure-guidance/disclosure-considerations-china-based-issuers. The statements in the CF Disclosure Guidance represent the views of the Division of Corporation Finance. The CF Disclosure Guidance is not a rule, regulation or statement of the Commission. Further, the Commission has neither approved nor disapproved its content. The CF Disclosure Guidance, like all staff statements, has no legal force or effect: it does not alter or amend applicable law, and it creates no new or additional obligations for any person.

Figure 2: Trends in the CBI and CI-BVI Incorporated FPI Sub-populations, FY 2003-2023

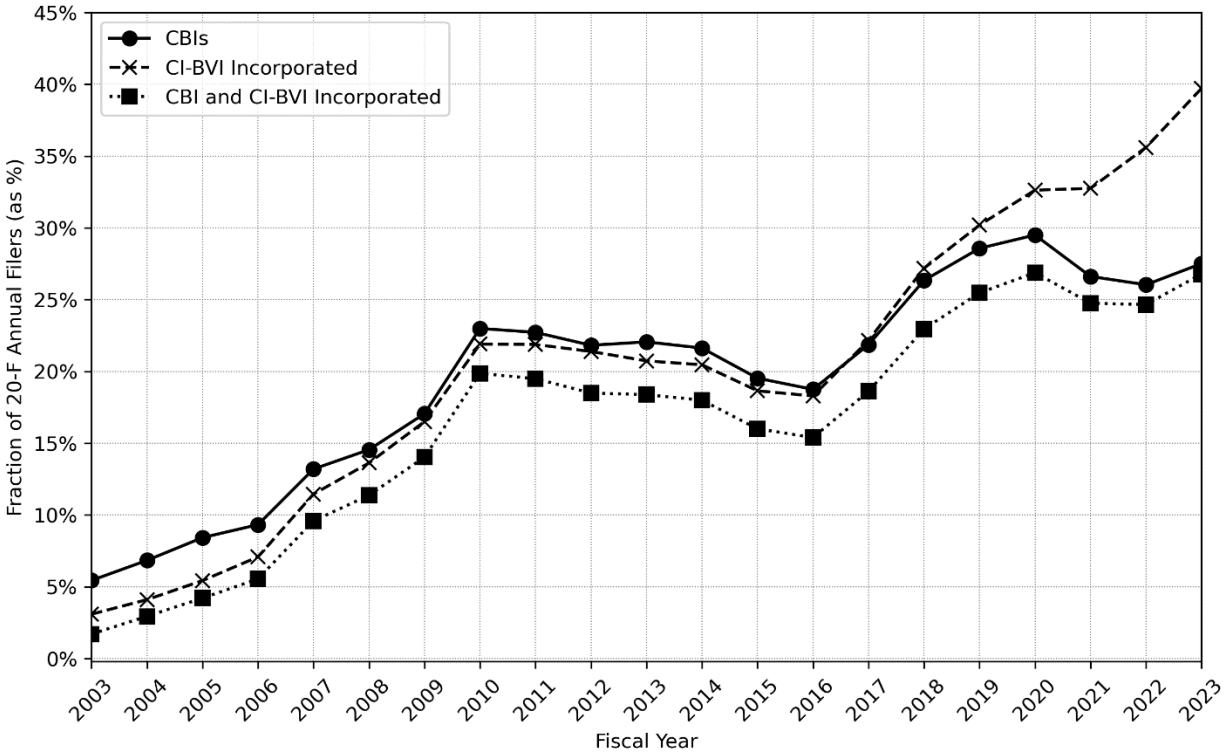

Figure 2 demonstrates a number of key findings. First, consistent with Table 4, the figure shows the increase in prevalence of CBIs in the 20-F FPI population from fiscal year 2003 to 2023. Second, the close tracking of the line representing the percentage of CBIs and the line representing the percentage of issuers that are both CBIs and CI-BVI Incorporated indicates that 20-F FPIs that are CBIs have had a strong tendency to be CI-BVI Incorporated over the entire period. Third, the fact that the distance between these lines has decreased in the most recent years shown indicates that this tendency was especially strong in those years. Finally, the fraction of 20-F FPIs that are CI-BVI Incorporated has increased in the most recent years shown, well beyond the other lines in the graph. Thus, it appears that incorporating in the Cayman Islands or the British Virgin Islands is also becoming increasingly popular among 20-F FPIs that are not CBIs. Because staff observed that these additional CI-BVI Incorporated FPIs are

generally not headquartered in the same jurisdiction in which they are incorporated, this trend further illustrates the increasing divergence between 20-F FPIs' jurisdictions of incorporation and jurisdictions of headquarters as observed in the staff's analysis.[84]

C. FPI Reliance on U.S. Capital Markets[85]

In this section, we present the staff's analysis of the percentage of 20-F FPIs' global equity trading volume that occurred in U.S. capital markets and how this has changed over time.[86] We then describe the staff's analysis of the market capitalization and home country jurisdictions of 20-F FPIs whose equities trade almost exclusively in U.S. capital markets. These analyses focused on the period from fiscal year 2014 through fiscal year 2023.[87] Overall, the staff observed that the global trading of 20-F FPIs' equity securities has become increasingly concentrated in U.S. capital markets over this period, whereby a majority of 20-F FPIs today have their equity securities almost exclusively traded in U.S. capital markets.

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[84] Given that home country jurisdictions impose varying levels of regulatory oversight as discussed in section IV.A below, increased divergence between the jurisdictions of incorporation and jurisdictions of headquarters may be an indication that some FPIs are seeking to limit regulatory costs through changing their place of incorporation or headquarters.

[85] This section is based on the data and analysis contained in section 4 of the FPI Trends White Paper.

[86] The sample used for the analysis in this section starts with all FPIs that filed an annual report on Form 20-F for any fiscal year in the 2014-2023 period. The staff obtained each FPI's list of global equities using LSEG's Advanced Equity Search tool ("EQSRCH") in LSEG Workspace, which contains a comprehensive global history of an FPI's equity trading. Using LSEG Workspace, the staff then mapped each stock to its global list of Ticker and Exchange combinations.

[87] The staff examined trading in years beginning in 2014 because a previous study has documented that the fraction of reporting FPIs that list their securities only on a U.S. exchange increased over the 2004-2013 period. In particular, using a large sample of reporting FPIs (including MJDS issuers) with exchange-listed equity securities in the United States, this study found that the fraction of such FPIs that have securities exclusively listed on U.S. exchanges steadily increased from less than 15% in 2004 to more than 35% in 2013. *See* Boone, Audra L., Kathryn Schumann-Foster, and Joshua T. White, 2021. "Ongoing SEC Disclosures by Foreign Firms," *The Accounting Review* 96 (3), 91-120 ("Boone et al. study"). When comparing the staff's findings to the findings of the Boone et al. study, it is important to note that the sample the staff uses for the analysis in this section includes only 20-F FPIs, whereas the Boone et al. study also includes MJDS issuers. At the same time, the staff's sample includes registered FPIs without a U.S. exchange listing that have their equity securities traded on U.S. OTC markets, whereas the Boone et al. study excludes such FPIs.

1. U.S. Percentage of Global Trading

For purposes of this analysis, the staff computed global daily trading volume in U.S. dollars for all of the 20-F FPIs across all global markets for which daily trading volume information was available for each FPI.[88] This global daily trading volume was then aggregated for a 12-month window around each 20-F FPI's fiscal year-end date, with a similar variable constructed for each 20-F FPI's aggregated 12-month U.S. dollar trading volume specifically in U.S. capital markets. The staff used the ratio of these two variables to construct the "U.S. Percentage of Global Trading," an estimate of an FPI's reliance on U.S. capital markets for trading of its equity securities in the 12-month period centered around each fiscal year-end.

Figure 3 below uses rank-percentile distributions to demonstrate how the distribution of different levels of reliance on U.S. capital markets has changed from fiscal year 2014 compared to fiscal year 2023.[89]

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[88] Trading data was available for approximately 97.5% of the 967 20-F FPIs that the staff identified for fiscal year 2023. The remaining 24 20-F FPIs from fiscal year 2023 with missing trading data were excluded from this analysis. For each fiscal year that an FPI filed a Form 20-F, the staff collected the U.S. dollar value of daily trading volume for each ticker-exchange combination available for each 20-F FPI over a 12-month period centered around the fiscal year-end date. Using dollar trading value instead of the number of shares traded helped the staff to overcome the complications of converting each ADR to its common share equivalent, since ADR ratios vary and can change throughout the lifetime of an ADR. Trading was measured for a 12-month period around the fiscal year-end date to help ensure that the trading data reflected the conditions as of the time of the other data in the analysis, which are recorded as of the fiscal year-end dates. Additional details on the staff's methodology are available in the FPI Trends White Paper.

[89] The rank-percentile distribution ranks 20-F FPIs in each year by their U.S. Percentage of Global Trading, from the smallest such percentage to the largest such percentage, dividing them into 100 bins. The first percentile bin, at the far left of the x-axis, represents the 1% of 20-F FPIs with the lowest U.S. Percentage of Global Trading. The 50th percentile bin, in the center of the x-axis, represents the 1% of 20-F FPIs with the median U.S. Percentage of Global Trading. The graph then plots, on the y-axis, the level of U.S. Percentage of Global Trading for each of these bins.

Figure 3: Rank-percentile distribution of U.S. Percentage of Global Trading, FY 2014 vs. FY 2023

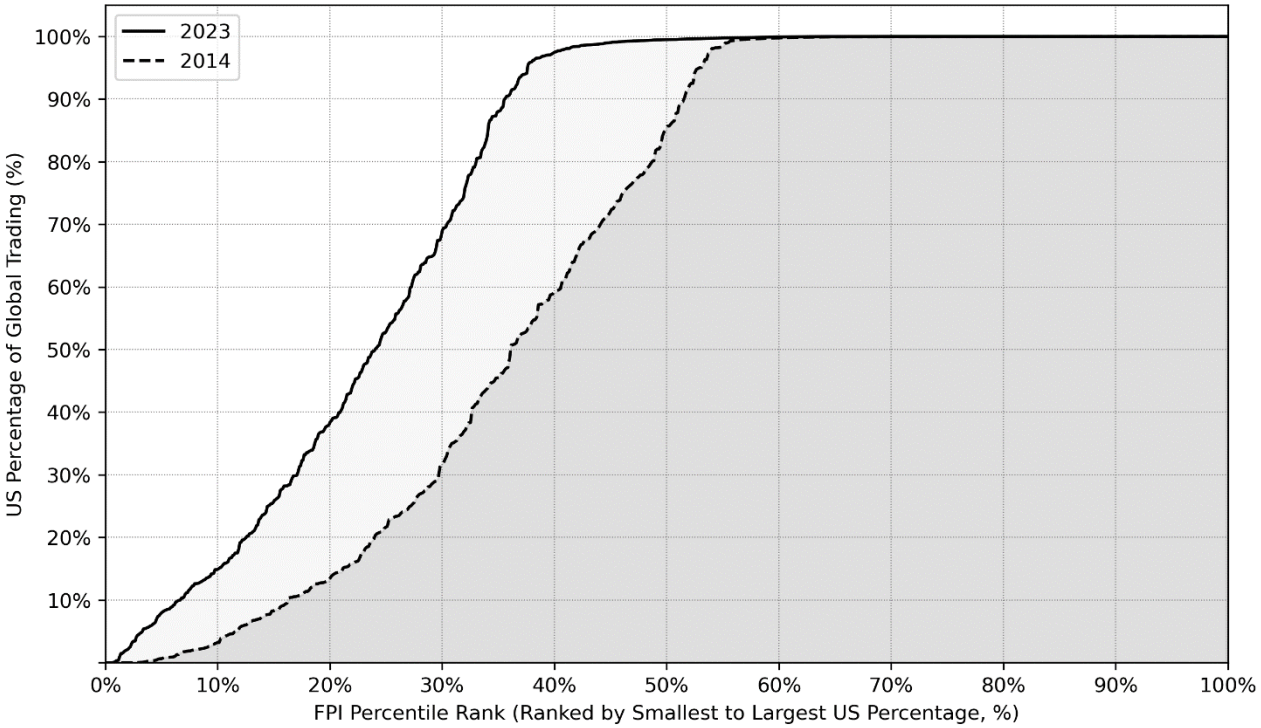

Figure 3 demonstrates that, even in fiscal year 2014, a large fraction of 20-F FPIs seemed to trade almost exclusively in U.S. capital markets—the 56th to 100th percentiles, or approximately 44 percent of the 20-F FPIs, were nearly at the maximum of 100 percent (specifically, between 99 and 100 percent) U.S. Percentage of Global Trading. But this fraction, and the degree of reliance on U.S. capital markets even for those with lower reliance, increased by fiscal year 2023. In fiscal year 2023, 99 percent U.S. Percentage of Global Trading was reached at about the 45th percentile, such that approximately 55 percent of 20-F FPIs traded almost exclusively in U.S. capital markets. Furthermore, in fiscal year 2014, 25 percent of 20-F FPIs (from the first to the 25th percentile along the x-axis) had no more than approximately 22 percent U.S. Percentage of Global Trading. In contrast, the lowest 25 percent of 20-F FPIs in fiscal year 2023 had up to approximately 53 percent U.S. Percentage of Global Trading. Thus,